

Q 1

$$1. m(a+bX) = \frac{1}{N} \sum_{i=1}^N (a+bX_i) = \frac{1}{N} \left(\sum_{i=1}^N a + \sum_{i=1}^N bX_i \right) = a + b \frac{1}{N} \sum_{i=1}^N X_i$$

$$m(X) = \frac{1}{N} \sum_{i=1}^N X_i, \quad \begin{array}{c} \nearrow \\ \downarrow \end{array} \quad = a + b(m(X)) = m(a+bX)$$

$$2. \text{cov}(X, a+bY) = \frac{1}{N} \sum_{i=1}^N (X_i - m(X))(Y_i - m(a+bY))$$

$$= \frac{1}{N} \sum_{i=1}^N (X_i - m(X))((a+bY_i) - (a+b m(Y)))$$

$$= \frac{1}{N} \sum_{i=1}^N (X_i - m(X))(b(Y_i - m(Y)))$$

$$\text{cov}(X, Y) = \frac{1}{N} \sum_{i=1}^N (X_i - m(X))(Y_i - m(Y)) \quad \begin{array}{c} \nearrow \\ \downarrow \end{array} \quad = b \text{cov}(X, Y) = \text{cov}(X, a+bY)$$

$$3. \text{cov}(a+bX, a+bY) = \frac{1}{N} \sum_{i=1}^N ((a+bX_i) - m(a+bX))^2$$

$$= \frac{1}{N} \sum_{i=1}^N ((a+bX_i) - (a+b m(X)))^2 = \frac{1}{N} \sum_{i=1}^N b^2 (X_i - m(X))^2$$

$$\therefore = b^2 \text{cov}(X, X) \rightarrow \frac{1}{N} \sum_{i=1}^N b^2 (X_i - m(X))^2 = b^2 \checkmark$$

$$4. g(x) = x^2 \rightarrow m(g(\{1, 2\})) = \frac{1+4}{2} = \frac{5}{2}$$

$$g(m(\{1, 2\})) = \frac{1+2}{2} = \frac{3}{2} \rightarrow \left(\frac{3}{2}\right)^2 = \frac{9}{4} \neq \frac{5}{2}$$

$$\therefore g(m(X)) \neq m(g(X))$$